GMS WEEKLY

Your Source for Recycling News

July 21st, 2023
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Week 29

Highlights:

- **Price struggle.**
- **Supply increase.**
- **LC moves.**
- **Dry bulk.**
- **Static.**
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QUOTE of the WEEK

"The only journeys we truly make are the ones within."

– Anonymous

MARKET COMMENTARY

DECLINE & FALL!

Prices continue to struggle across all of the major ship recycling markets, as Bangladesh further declined off of the back of depreciating currencies and sustained L/C struggles, while Turkey suffered similarly with declining steel plate prices, the Lira, and finally, its vessel prices.

The supply of tonnage seems to have increased just slightly over the last couple of weeks (particularly from the Chinese market) and as such, many Owners and Cash Buyers have been left chasing down various recycling destinations amidst weakening prices.

As forecasted a few weeks ago, Pakistan finally seems ready to return into the game and has even overtaken an extremely lackluster Indian market wherefrom, lowball offers of below USD 500/LDT seem to be coming regularly in, with little success for all parties involved. As such, it may take some time to work through the L/C issues in Pakistan, but it is certainly encouraging to see various offers come back close to currently competitive levels.

On the supply side, it has mostly been vessels from the Dry Bulk sector that continue to be introduced to the recycling markets, especially older Panamax and Handy units built in the 90s that are perhaps overdue for retirement from their respective fleets.

Post budget in Bangladesh has certainly been more difficult to get Central Bank approval on fresh L/Cs, but things seem to have eased up a touch this week as local Buyers are emerging once again, just as the tonnage flow is also increasing.

Finally, the Turkish market seems to have taken a turn for the worst, as import and local steel prices, the Currency, and even vessel prices have all taken a tumble during this week, with some vessel indications reportedly coming in even below USD 300/MT.

Overall, it will certainly take some time to absorb many of the unsold vessels not only being freshly proposed into the markets, but also those units in Cash Buyer hands and as such, sentiments and demand may remain somewhat muted for some time – at least until the monsoons start to subside.

For week 29 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Weak	540 / LDT	570 / LDT	590 / LDT
2	Pakistan*	Weak	520 / LDT	540 / LDT	560 / LDT
3	India	Weak	500 / LDT	520 / LDT	540 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

EASING!

Buyers emerge.

A lot of the L/C difficulties post-Eid seem to finally be easing this week as an increasing number of Buyers emerged at the tables to offer on and acquire new units, be it at these lower overall levels of today.

Vessels continue to be proposed from the Chinese market (in particular) and there are several Dry Bulk vessels (Handy and Panamax sizes in particular) backed up and waiting for L/Cs to open so that vessels can arrive locally and eventually beach.

Bulkers sold.

Fresh sales this week saw the Chinese controlled ZHENG HAO and ZHENG JIE (10,613 LDT) committed en bloc, for a decent USD 495/LT LDT basis an 'as is' China delivery, in addition to another Bulk Carrier YANG FAN (10,934 LDT) that was committed with various removals, a conversion, and installed cranes, for a decent USD 540/LT LDT basis an 'as is' Batam delivery and with sufficient bunkers included on board for the voyage to the sub-continent.

Meanwhile, fundamentals continue to face their share of troubles as the Bangladeshi Taka continues to trade at a record-breaking BDT 108.50 levels against the U.S. Dollar, all while local steel plate prices continue to flatline.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
ZHENG HAO	Bulker	10,613	USD 495/LT LDT ('as is' China)
ZHENG JIE	Bulker	10,613	USD 495/LT LDT ('as is' China)
YANG FAN	Bulker	10,934	USD 540/LT LDT ('as is' Batam with bunkers for voyage)

INDIA

ON EDGE!

Indian prices have sunk to their lowest levels for quite some time now and there are even opportunistic offers forthcoming from Alang Buyers that are below USD 500/LDT.

Low levels.

These lowball offers are not resulting in much success for Indian Recyclers - even for HKC green tonnage - and with Pakistan coming back into the picture recently, firmer prices will be needed in the near future, in order for domestic Recyclers to secure their share of tonnage.

Below 500.

Domestic fundamentals continue their dance as the Indian Rupee continues trading into the high Rs. 81s against the U.S. Dollar, all while local steel plate prices extended their volatility once again, ending the week only USD 1/Ton above those from last week.

NO MARKET SALES REPORTED

PAKISTAN

LEAPFROG!

Enquiries emerge.

News of the USD 3 billion injection of IMF funding is set to ease the financial crisis that Pakistan has crushingly endured for nearly all of this year, and this has seemed to finally bear some fruit this week as several offers and End Buyers were seen emerging from the abyss and enquiring to buy tonnage once again.

Having been out of the picture for the better part of a year, it will take some working through the ongoing L/C issues with domestic banks, in order to see some form of business normality resume moving forward.

Above India.

For now, fundamentals continue to deteriorate as the Pakistani Rupee weakened drastically from PKR 277 to nearly PKR 286 this week, all while local steel plate prices remain horizontal for months on end.

Notwithstanding, despite the weakening fundamentals, Pakistani Buyers have jumped above India in the price rankings and are encouragingly within striking distance of competing with Bangladesh once again.

As such, we can only hope a quick small LDT deal or two should help set the local financial gears cranking again, making it smoother for further deals moving forward.

NO MARKET SALES REPORTED

TURKEY

DECLINE CONFIRMED!

Fundamentals drop.

Last week, imminent fears of an upcoming correction seem to have played out this week as declines in key fundaments (i.e., plate prices and the Turkish Lira) resulted in vessel prices declining by about USD 20/Ton this week.

Not only did import and local steel plate prices decline by about USD 15/Ton and USD 20/Ton respectively, but the Lira also declined further as it approached TRY 27 against the U.S. Dollar – ending the week at TRY 26.95.

Finally accepted.

Sentiments have gotten worse and on the few units being offered, all levels in the low USD 300/MT (some even reportedly below) came forth this week from nervous Aliaga Buyers.

As such, even though supply may seem better than before, these new lower levels might put off fresh Sellers and Cash Buyers, at least until these prices are finally accepted.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The common gasses that are found when a volcano erupts are: water vapor, carbon dioxide, sulfur dioxide, hydrogen chloride, hydrogen fluoride, and hydrogen sulfide.*
- *When a volcano erupts, it can send ash and debris up to 17 miles above the Earth's surface.*
- *There is a unique volcanic rock called pumice that can float in water.*
- *There are waterfalls under the ocean's surface.*
- *You can find more remains and artifacts under the ocean than in all of the world's museums combined.*
- *There are around 500 species of sharks living in the ocean today, even though about 80 percent grow to be less than 1.6 meters long and are unable to hurt people.*
- *Around 50 to 60 percent of life on Earth is found underneath the ocean's surface.*
- *Scientists have named and classified around 1.5 million species of sea creatures, and there is as much as 50 million species we have yet to discover.*
- *The average depth of the ocean is 3,795 meters.*
- *There are tons of asteroids in our solar system. One of them, Asteroid 243 Ida, even has its own moon.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 28 – July 29 – Ashura August 15 – Independence Day August 31 – Raksha Bandhan	July 13 – July 22 July 30 – August 07 August 14 – August 20 August 28 – September 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 29 – Ashura August 15 – National Mourning Day	July 18 – July 21 August 01 – August 04 August 16 – August 19 August 30 – September 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays in July & August	July 27 – July 28 – Ashoora	August 30 – Victory Day

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ALANG - Port Position as of July 21, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Asian Bulk	9,257	Bulk Carrier	Beached July 19
2	Neru	1,885	Reefer	Beached July 18
3	Ora	872	General Cargo	Beached July 14
4	Young	556	Fishing	Beached July 20
Total Tonnage		**12,570**		

CHATTOGRAM - Port Position as of July 21, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Fu Sheng	10,780	Bulk Carrier	Arrived July 21
2	Hong Hao	11,857	General Cargo	Beached July 18
3	Jia Lang 18	3,621	Bulk Carrier	Beached July 21
4	Marchie 8	1,593	General Cargo	Beached July 18
5	Phu Hui 2	3,286	General Cargo	Beached July 19
6	Rui	7,608	Bulk Carrier	Beached July 20
7	Shandong Express	8,658	Woodchip Carrier	Beached July 20
8	Shun Da Yun	4,587	General Cargo	Beached July 21
9	Victory	3,045	Reefer	Arrived July 21
10	Well Win	8,940	Bulk Carrier	Arrived July 11
11	Xin Hai Zhou 7	6,496	General Cargo	Arrived July 21
Total Tonnage		**70,471**		

GADANI - Port Position as of July 21, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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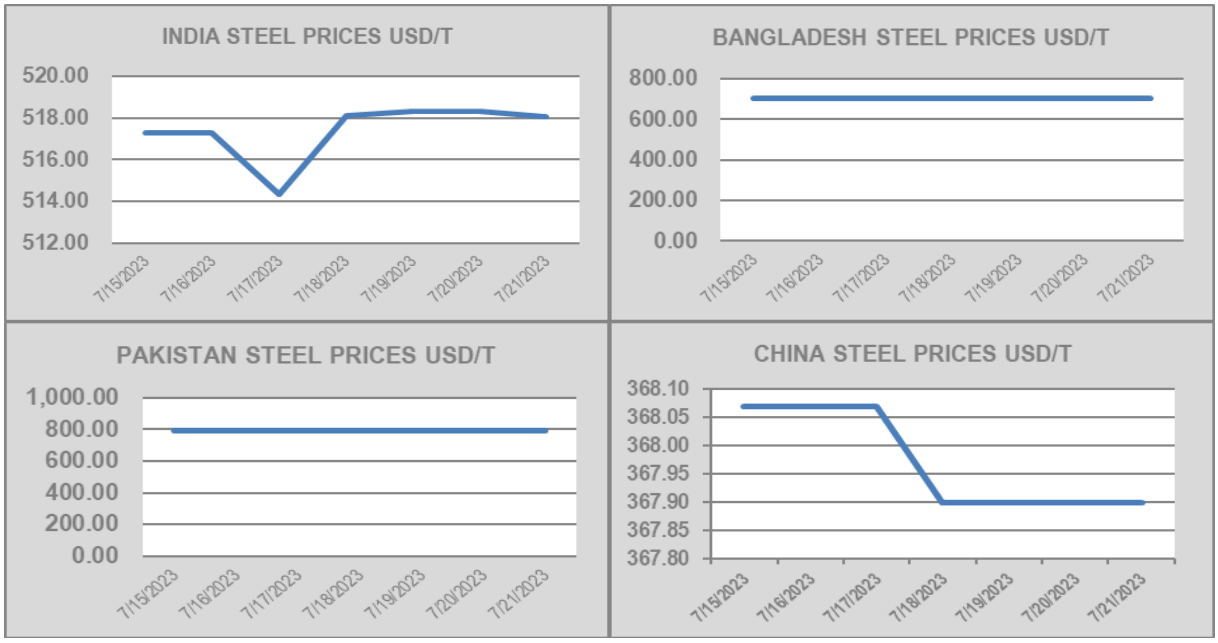
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/15/2023	517.28	42,500.00	794.22	220,000.00	704.76	74,000.00	368.07
7/16/2023	517.28	42,500.00	794.22	220,000.00	704.76	74,000.00	368.07
7/17/2023	514.32	42,200.00	794.22	220,000.00	704.76	74,000.00	368.07
7/18/2023	518.10	42,500.00	794.22	220,000.00	704.76	74,000.00	367.90
7/19/2023	518.29	42,500.00	794.22	220,000.00	704.76	74,000.00	367.90
7/20/2023	518.29	42,500.00	794.22	220,000.00	704.76	74,000.00	367.90
7/21/2023	518.04	42,500.00	794.22	220,000.00	704.76	74,000.00	367.90



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